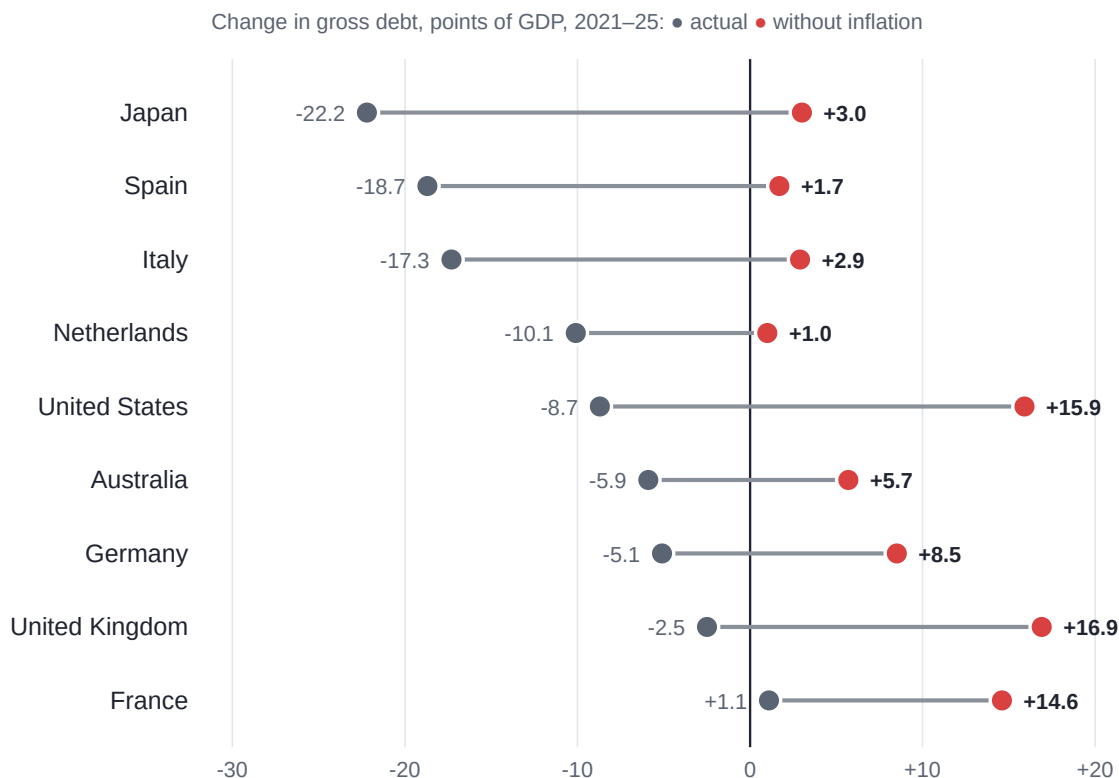
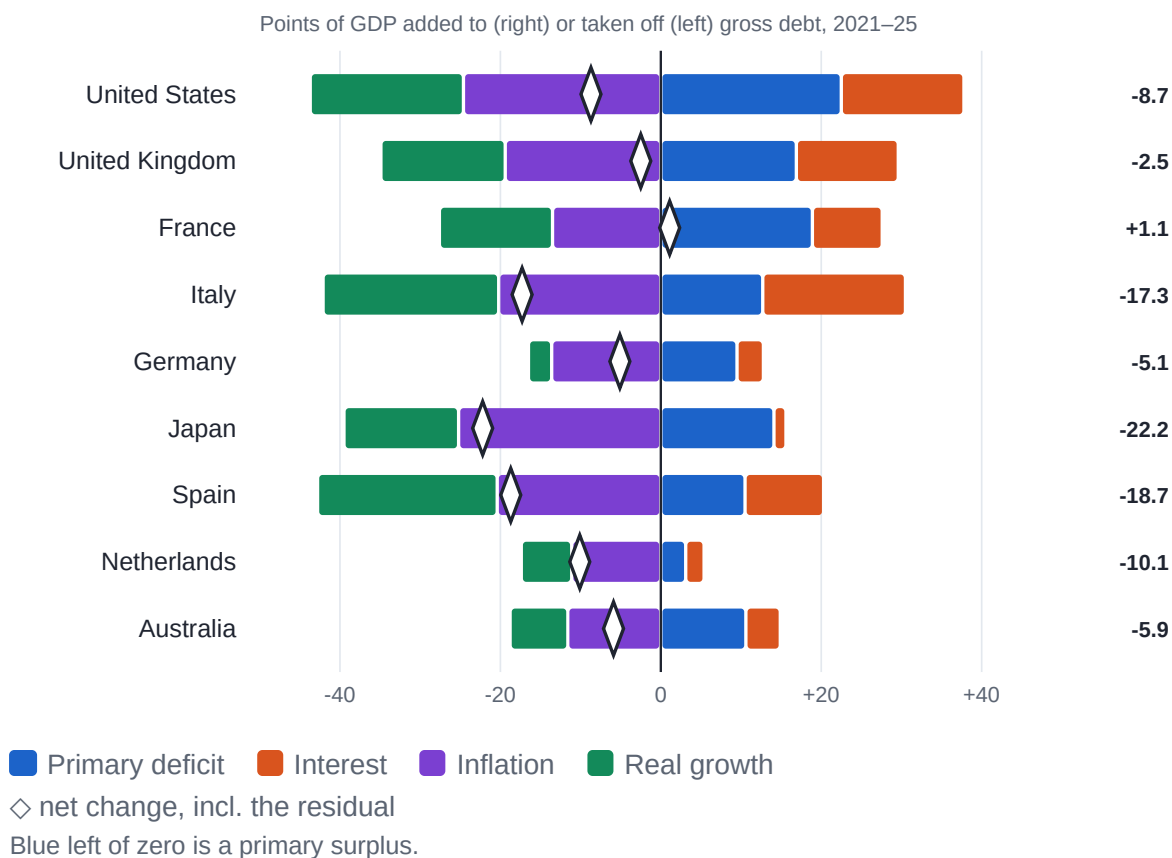


Rich-world debt ratios fell after the pandemic. **Take inflation out and every one of them rose.**



Budgets didn't cut the debt. Inflation did.

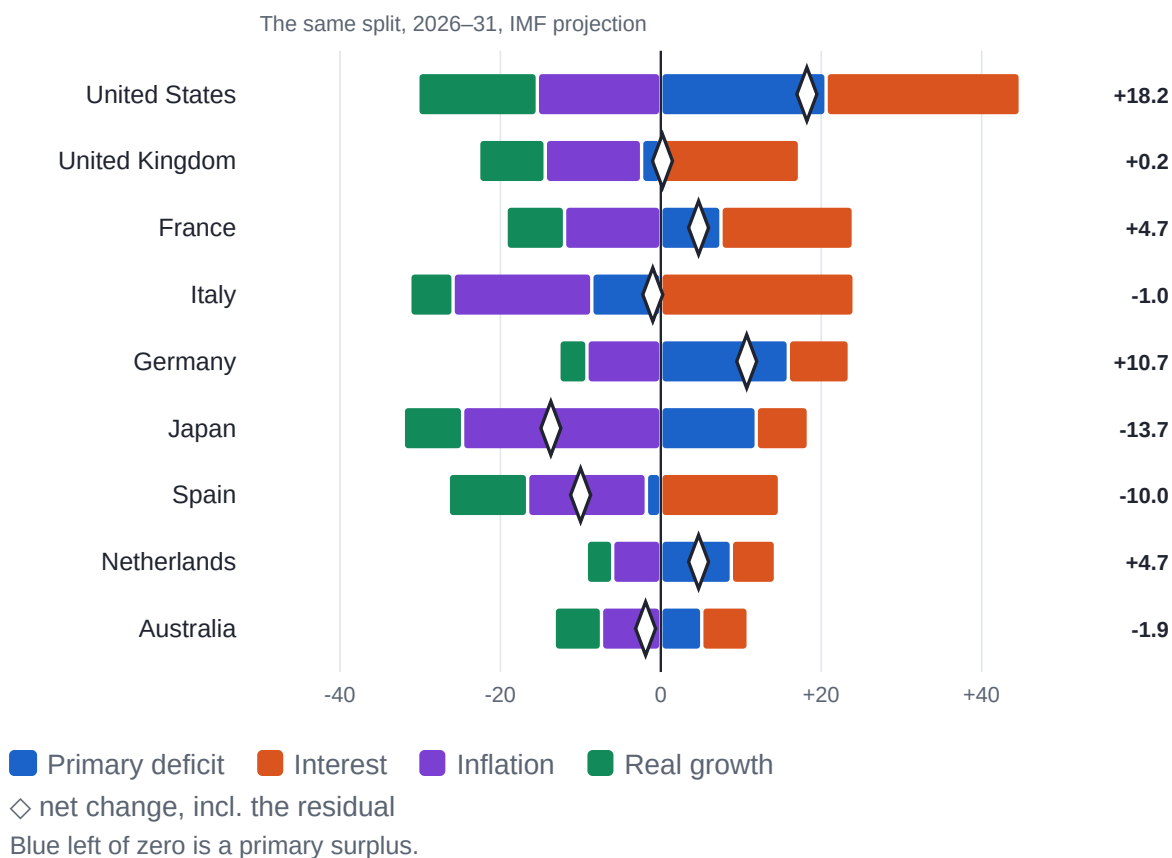
All nine ran primary deficits over 2021–25. Inflation took **11 to 25 points of GDP** off each ratio. That is more than real growth did in 6 of the nine.



2026–31, THE IMF'S OWN PROJECTION

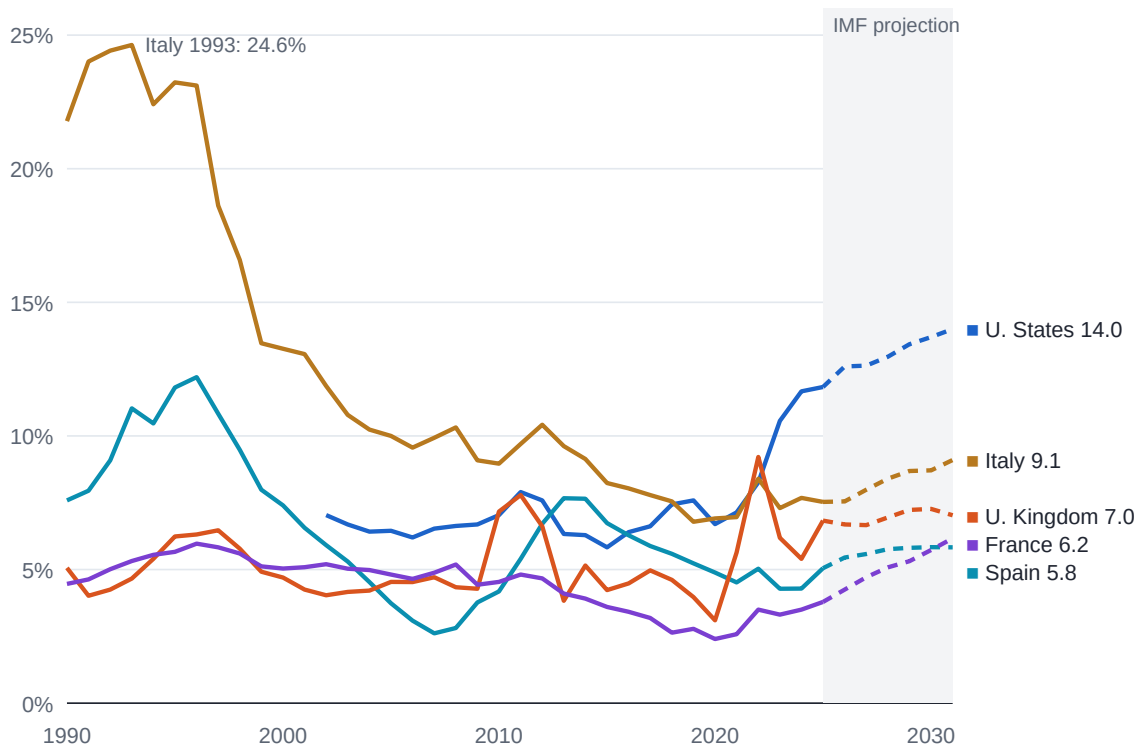
From here, interest does the pushing

Inflation's help shrinks in all nine. Interest becomes the biggest force raising debt in **6 of 9**, ahead of the budget deficit.



The US now spends 11.8% of its revenue on interest

Twice its 2015 share, and 14.0% by 2031 on the IMF's path: above Spain's 1990s peak. Italy, at 7.5%, is under a third of its 1993 level.



HOW FAST A HIGHER YIELD REACHES THE DEBT

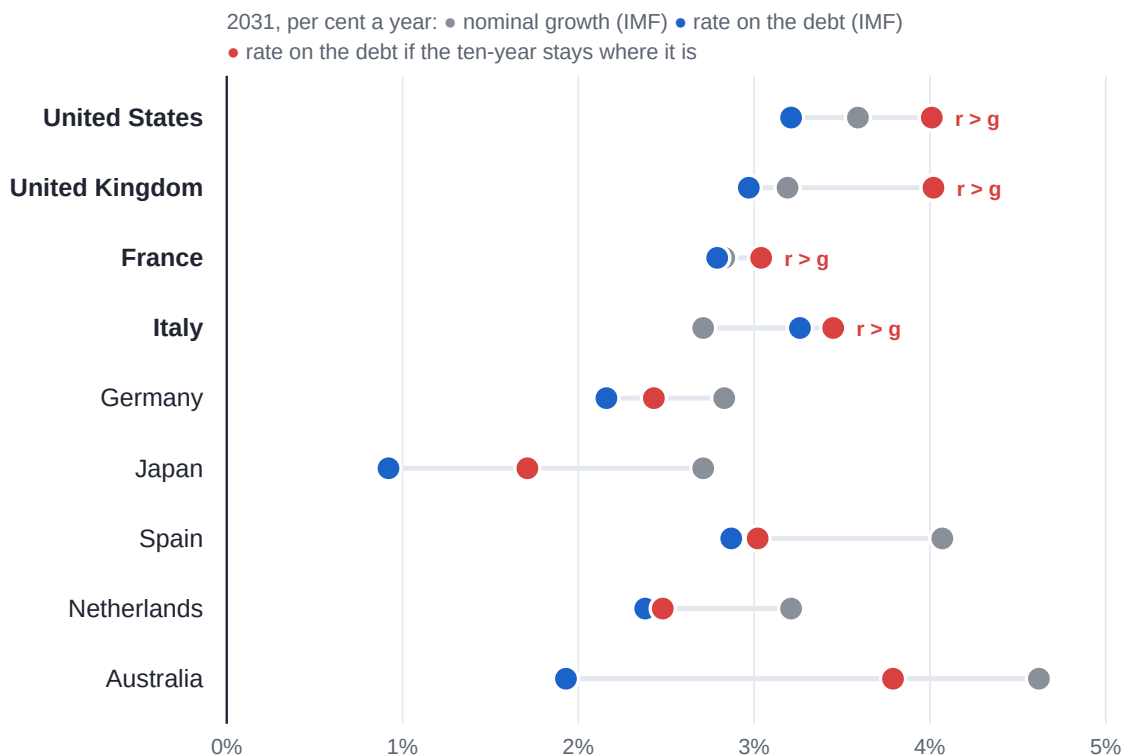
5 years

half-life of the gap between the ten-year yield and the rate paid on the debt

13%

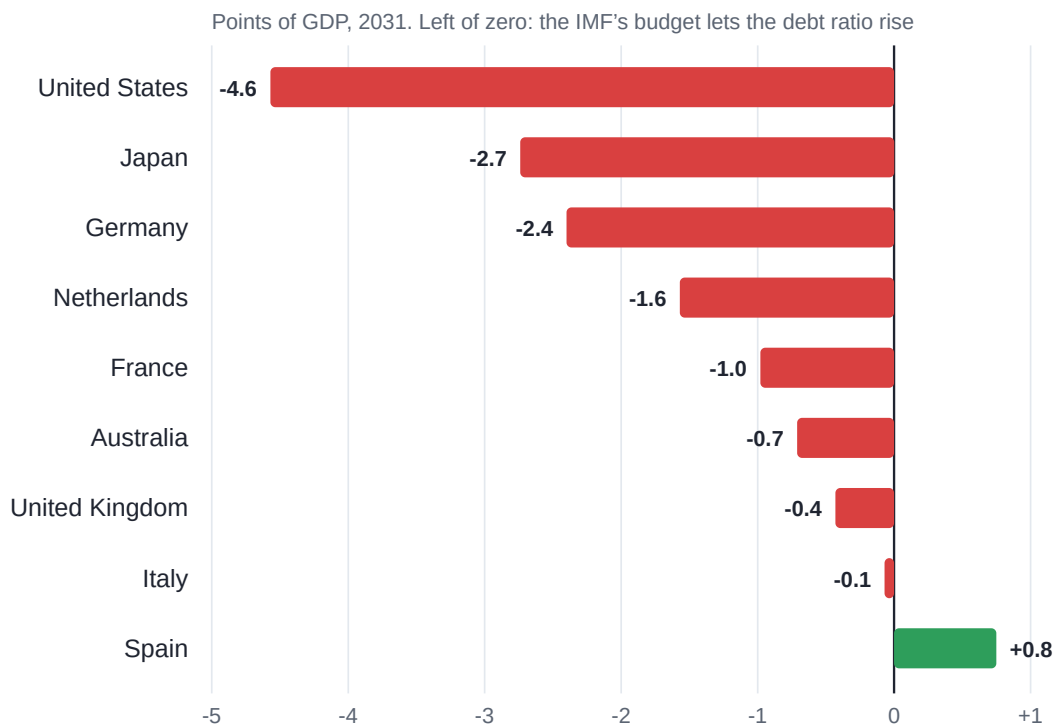
of that gap closed each year, 233 country-years since 1996

At that speed, with yields where they are, the rate on the debt passes nominal growth by 2031 in **the US, Britain, France and Italy**. The IMF's path has 1: Italy.



The US is 4.6 points of GDP short. Italy, 0.1.

The IMF's 2031 budget minus the one that holds each debt ratio if the whole stock paid today's ten-year yield. Only Spain's projected budget covers it.



Three things to say, and one not to

1

“Flirting” is the right word. The average rate is still at or below growth; the market rate is above it; the average closes about 13% of that gap a year.

2

Rank by the budget gap, not the debt ratio. On debt, Japan and Italy lead. On the gap, the US leads by a distance.

3

Check the interest line in any 2031 debt path. At today's yields the IMF's rate for the US is 0.8 points low.

×

Not “they paid down pandemic debt”. Inflation did. It worked because it was a surprise, and a surprise cannot be planned for twice.

Method, every number and the scripts: namikakmandev.github.io/debt.html

IMF World Economic Outlook (debt, balances, revenue, GDP) and OECD ten-year yields via FRED, 2026-08. Net interest; projections are the IMF's. Canada and Korea left out: their net interest is negative.